

Due Diligence Report:

Kalot Superfood

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BUSINESS

Kalot Superfood is a Colorado based nut and seed butter company. Launched in 2013, the company has made their premium seed and nut butter products available through 9 SKUs to over 1,000 retail stores through their multiple nation-wide distribution channels. Kalot's product performance has earned the title of fastest growing nut-butter company in a 2015 SPINS report and an award for best nut butter product in the Delicious Living 2015 competition. The business leverages partnerships at co-packing facilities to process and package their ingredients into traditional sized jars and has built relationships with raw ingredient companies around the country.

TEAM

Company leadership is comprised of[.....] , holding roles as CEO and Manager of Marketing and Operations. During the first 9 months of 2015 an externally hired CEO, [...], was brought in full time to spearhead fundraising efforts and assist with financials and the business infrastructure. Under this structure [...] held the role of CIO, focusing on product development, marketing, and design. A subsequent transition realigned the organization with [...] as CEO where she also hold roles in product development, sales and marketing.

Founder and Chief Executive Officer

Board Certified Nutritionist with a M.A. in health education, former manager at the Vitamin Shoppe and consultant for nutritional businesses and health spas.

Manager of Field Marketing and Operations

Certified Health Coach with a B.A. in human development, former manager of community development at Design for Social Impact.

One of the company's primary expenses during the majority of 2015 was identified as the CEO's full time salary, and the overall growth and product margin trajectories were proving to be unsustainable for the business.

During the due diligence interview [...] indicated that she became aware of the severity of the company's financial struggles in June 2015 when DeAngelo informed her that Kalot was at risk of running out of cash within 3 months. [...] attributes this scenario to [...] to "continue to operate according to budget and not raising what was expected in the first round." In September 2015 and after becoming more familiar with the financial aspects of the business [...] made the decision to relieve [...] of his CEO duties and assume the role. She is continuing to build Kalot on the infrastructure established by [...] and is leveraging accounting firm AVL to refine the business financials. To prevent similar issues from reoccurring in the future [...] is leveraging company advisors and network connections, staying engaged in financial matters as opposed to fully delegating them, and taking a longer term strategic approach to hiring.

Kalot's advisory board consists of individuals with backgrounds in Venture Capital (Golden Seeds), gourmet foods ('Wichcraft), and snack foods (GoGo SqueeZ). During the interview process [...] also often mentioned strategic partner and past lead investor [...], referring to his experience and abilities to bring products onto store shelves. [...] is the owner of [...] and Marketing Management: a business consisting of trained CPG professionals with natural, organic, and specialty backgrounds, and a

former Head of Sales for General Mills Small Planet Foods. Kalot identifies Ignite and Pilakowski as the company's outsourced sales force.

PRODUCT

The nutritional value of nut based butters, especially for that of almond butter, are increasingly recognized in popular media. Jif brand of peanut butter became the U.S. Olympic and Paralympic sponsor in 2014, further increasing recognition of nut butter's nutritional value to athletes and the physically active population. Kalot's 9 SKUs consist of three primary ingredients (almond, sunflower seed, and cashew) and a variety of other flavor driving ingredients such as fruits, nuts, and spices. The flavors are based on the combinations of nutrient-dense whole food ingredients and are unique among the competitors. The products are marketed as all natural source foods that are dairy and gluten free and without added sugars, fillers, or flavorings.



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Product formulations were developed by certified nutritionist [...] and are sold in natural, conventional, and specialty grocery stores. Per the company and as shown on the product nutrition label each 2 tablespoon serving provides 50% of the daily value for certain vitamins. [...] indicated that the vitamin sources are a proprietary blend of non GMO, organic-compliant ingredients. The vitamin blend was created by Kalot and is processed by a third party. All products are made in a peanut-free manufacturing facility.

Peanut butter resides in the same category and is the most common and the largest overall competitor segment as Kalot's nut butters. However, changes are occurring in the market as new product development, marketing, and packaging is rising. Major peanut butter brands are also undergoing changes through recent acquisitions such as the procurement of Jif brand by J.M Smucker Company in 2002 and the procurement of Skippy brand by Hormel Foods in 2013. In addition, other private label nut-based spreads have entered the market with unique products similar to those offered by Kalot.

All of Kalot's products are currently offered in a 12 oz. glass jar. Glass, although more expensive to ship, is believed by company leadership to be the best choice for a premium nut spread. Other packaging options available to nut butter spreads include plastic jars, single use packets in squeeze, pouch, cup and small glass jars. The company indicated the potential to increase presence in target market segments by introducing alternative packaging for the products. For example, single use squeeze packets could not only increase sales within existing grocery channels but also bring the opportunity to add new retail channels. One potential new market is sales at fitness clubs or other places physical activities are taking place (yoga, dance, biking and gym shops etc.).

The J.M. Smucker Company's Jif peanut butter, the leading peanut butter brand in US, introduced "Jif to GO" in 2006, a product consisting of a few small cup single serve packages. According to an interview by Food Business News in 2013, the president and COO of the Smucker Co. stated that volume for the product doubled during 2012 and increased 75% during the first 9 months of 2013. It appears smaller packaged products offering a high level of convenience are resonating behind its popularity. In 2014, a new product called "Jif to Go Dippers" was created that adds pretzels, further expanding the convenient small packaging product line.

MARKET

According to a 2014 report by Mintel, nut-based and sweet spread products represent a \$3.9B market, which grew 34% during the 2008-2013 period and is estimated to grow further by 65% in the 2013-2018 time frame, concluding with sales of \$6.5B in 2018. The same report indicates consumers are interested in more diverse product offerings that include health benefits, where 55% of consumers were found to be seeking the nut-based spreads with health benefits such as vitamins and antioxidants. The report also found that 36% of consumers were interested in products without additives or preservatives. While companies like Jif and Skippy also sell nut-based spread products, these products generally sell as traditional consumable spreads without emphasis on premium health and natural ingredient benefits. The nature of Kalot product being vitamin rich, natural sourced and without added sugars, fillers, or flavorings make them less like Jif and Skippy products and more similar to products by Justin's, Nuttzo, and Artisana.

Kalot states that over 1,200 stores are currently carrying their product and provided a store listing reference for review. The VCA team conducted a random sampling of stores on the Kalot provided list to review actual presence of products on shelves. Of the stores reviewed, approximately 70% had physical products on the shelf. The interview with [...] indicated that current production rates could be significantly increased to meet more demand when velocity and channel penetration increase. While the number of stores carrying the product is one indicator, total products shipped, repeat order rates, logistics metrics and efficiency and other figures could be observed to estimate the product adoption rate, scale, trend and momentum towards sustainable growth.

No specific data for broadening of market adoptability based on the special packaging in the nut based spread product was found. However, there appears to be a general recognition that a positive influence on the market share exists from more diverse and innovative packaging options in the food industry. While most of the information from a 2015 BCC Research report focused on the analysis of the packaging industry, the document also mentions that changes in lifestyle are driving new packaging and motivating consumers to purchase alternative, conveniently packaged consumables. The Jif to Go sales numbers and the addition of a product line Jif to Go Dippers by Smucker Co. indicate that large players also see value in the packaging alternative.

STRATEGY

Kalot intends to build a platform brand of nutritional products in "easy to use formats". The company has built relationships with major food chains such as Sprouts Farmers Market, Natural Grocers, and select King Soopers and Kroger stores. CEO [...] attributes this achievement to network connections, sales and marketing strength, Ignite, overall market growth and the differentiation of their product.

[...] has been engaging with RVC members (potential investors) to identify and understand optimization strategies, resulting in action items to overhaul the company financials, re focus efforts on velocity, penetration and distribution, and the re-negotiation of existing contracts with vendors and brokers to reduce the costs of goods sold. The business has made significant changes to their strategy since July 2015 where their plan identified new packaging options as a major goal. For 2016 Kalot's primary objectives are to increase product velocity (also known as turn, the volume of products sold over a given time) within current stores, develop marketing and strategy to increase customer and brand awareness, increase penetration of existing channels, and to address business inefficiencies. New product packaging will not be pursued in 2016.

These revised strategic initiatives appear better aligned to optimize the business given its current resources and environment. Kalot is only in 7% of Kroger and 19% of Whole Foods stores, indicating potential for growth. [...] has also reduced the company burn rate by 50% and increased manufacturing margin from 26% to 31% since resuming the CEO role. Clear, bottom up market strategy and budget calculations are in development to further illustrate how and when funds from this round will be used. Kalot is also developing a refined perspective of the competitive landscape to further understand strengths and weaknesses and further outlining the Operations Manager /

Supply Chain Manager position requirements. While these goals share promise in the company's ability to strategize and execute, tangible information was not yet available to the VCA team during the due diligence process. [...] has since provided supplemental documentation to the RVC. This information is referenced in the appendix section.

COMPETITION

	Kalot	Nuttzo	Artisana	Justin's
Provides 50% RDA of vitamins	✓			
No added sugar	✓	✓	✓	✓
No palm fruit oil	✓	✓	✓	
Dairy-free	✓	✓	✓	✓
Soy-free	✓	✓	✓	
No artificial flavors or ingredients	✓	✓	✓	✓
Variety of flavors	✓	✓		✓
MSRP per jar	\$10.99	\$17.99	\$13.99	\$13.99
Current selling price \$/wt. oz.	\$0.83	\$0.86	\$1.28	\$0.87
Calories per serving	180	190	180	190

Kalot's apparent differentiation is its overall nutritional vitamin content. By infusing nutrient dense and natural ingredients that provide antioxidants, healthy fats, protein, essential minerals and 50% of the recommended daily value of vitamins per serving, Kalot delivers a product with more overall nutritional value per serving than the three observed competitors. The company believes this is a considerable decision driver for prospective buyers. Kalot also offers a price that is competitive, and has the potential to further offset this differentiation if the business is able to achieve the millstones set forth in their new strategy.

Nuttzo is available for purchase in similar stores as Kalot, including Whole Foods and Sprouts, and also has a nationwide market presence. The company has also developed single serve squeeze packaging for their products, a feature Kalot will be pursuing in 2017 or later. When asked for Kalot perspectives regarding the potential for Nuttzo to gain competitive margin, Kalot responded that Nuttzo's high price point (\$17.99) will limit their ability to effectively crossover from the natural food channel/gourmet channel into conventional and mass retailers where there is a much bigger opportunity. Kalot, on the other hand, believes that they've positioned themselves to reach the masses.

Justin's is also a significant competitor to Kalot. The Boulder, Colorado company has been in business for over 10 years and has a diversified product line including multiple almond butter flavors, peanut butters, and hazelnut butters. Justin's also sells nut butters in squeeze packages and has developed snack and candy products as well. SEC filings in 2013 show that Justin's LLC had significant capital raise activity with a \$47M investment from private equity firm VMG. Interviews by media outlets with company leadership indicate annual revenues of over \$50M and an employee head count of 40 people, however Kalot noted that revenues are likely closer to \$73M (in 2015), up from 11M in 2013. While the company maintains revenues as proprietary information, a 2012 interview by Entrepreneur.com indicated that 2011 revenues were over \$10.5M and in 2014 CEO Justin Gold stated that annual revenues were in the \$50M to \$100M range. The significant growth was driven by strategic partnerships with Target and Starbucks, along with additional product lines, according to Kalot. Comments from Gold also shared that the brand was continuing to demonstrate growth in triple digits. Justin's products are available for purchase in similar stores as those offering Kalot.

FINANCIALS

Kalot's largest recent expenses have been cost of goods sold (COGS). This is followed by the CEO salary of \$100K/yr., which was in place from January 2015 to early September 2015 prior to the relief of [...]. As of his release company financial planning and strategy roles transitioned to [...] and AVL (Kalot's current accounting firm). Accounting fees fluctuate monthly but average \$4,200 per month. [...] salary is \$35,000 annually plus benefits, while [...] is varying her CEO salary draw based on company performance. Long term notes/debt identified in Kalot financials total \$8.3K.

Revenues increased 187% from 2013 to 2014 followed by a 55% increase in revenues in 2015 (\$445K to \$688K). Although this shows aggressive sales growth, in-store penetration of the existing customer stores has substantial room for improvement. This appears to be the biggest area of opportunity in the near future. Kalot is in 7% of Kroger stores (30% of company sales YTD 2015) and 19% of Whole Foods. Cashew and sunflower seed butters, products introduced in Q2 2015, are expected to increase revenues in 2016 as the lines develop a presence on shelves of current channels. According to Kalot these products also bring higher margins than almond butter products. Direct to consumer sales account for less than .3% of current revenues, presenting a potential opportunity to increase volume along that channel. In addition, marketing and advertising can help Kalot achieve greater awareness and traction. While trade shows and local media platforms are being engaged by Kalot, competitor Justin's LLC is launching a significant marketing campaign to promote their natural product lines by investing in social media, leveraging Google AdWords and SEO, and building relationships with online foodie sites like AllRecipes.com.

Per [...], as of October 2015 the monthly burn rate was reduced from \$43K to \$21K. Net margins YTD 2015 are -82.9% and are expected to improve in Q4 to -79.9% due to budget adjustments and salary reductions. While manufacturing margins for the Almond line are 32.9%, the new cashew and sunflower seed product line provide better margins at 40.2% and 42.9% gross manufacturing margin each. Sales strategies and projections for the three product lines may significantly change gross and net profit margins; however, these figures have not yet been shared by Kalot. [...] estimates that \$6M in annual revenues would need to be achieved for Kalot to reach profitability and projects \$6.4M in revenues by 2017. Additional areas of opportunity to reduce cost further include improving raw material buying, managing co-packer costs and managing inventory levels. These are believed to be achievable with an experienced operations manager.

Bottom line improvement should also be realized by the renegotiation of contracts with existing raw ingredient suppliers, brokers, and packers. While contracts are varied and Kalot also performs spot buys, some ingredient distributors pay on 2% N30 terms and typically pay within 30 days. Co-packer terms have improved from N15 to N30 in Q4 2015 as well as costs per jar decreasing .07 cents (1.8% improvement). These contracts are up for renegotiation by the end of the 2015 calendar year and the company intends to make significant changes for Q1 2016. While brokers have been receiving payment of 5% on gross sales, Kalot is revising this to a standard market approach of 5% of net sales (according to [...] only one contract remains in negotiation at this time).

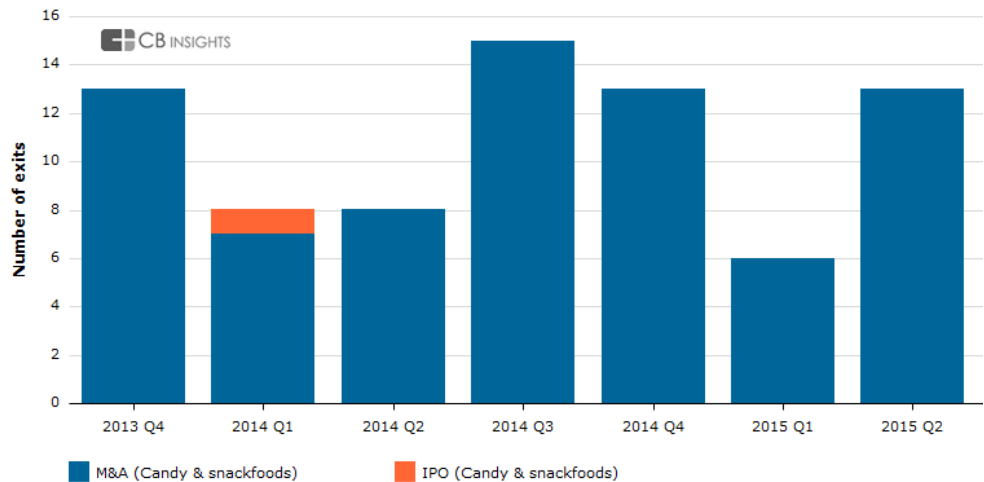
To date, Kalot has received \$595K from prior investment rounds, with another \$300k in financing from founders. The company is seeking \$750K at a company stated valuation of \$3.5M pre money, but is considering a smaller bridge raise of \$250K at a lower valuation, with a subsequent tranche later in 2016 of \$500-\$750k. In addition to seeking equity financing, the company is pursuing Accounts Receivable and Purchase Order financing. If Kalot qualifies, typical small business banking resources generally offer financing per 80% of monthly AR plus 50% monthly inventory. Per the Kalot balance sheet ending Q3 2015 this would equate to roughly at \$67.7K revolving line of credit (\$34K x 80%) + (\$81K x 50%). The company is also pursuing financing options through RVC portfolio company [...]. [...] stated that existing investors would not be participating in the current round due to "a fund mandate and concentration balance."

Kalot also anticipates having one additional funding round prior to exit, raising \$1.5M in mid-year 2017. This capital is expected to buy 16 months of runway and to be used for growth, to increase velocity, and to expand distribution channels. This raise is expected to occur within 18 months after closing the current round. No further financing is anticipated.

EXIT

Kalot intends to exit via acquisition in 4 years. The company considers Boulder Brands, Inc. and Blue Diamond Growers to be potential acquirers. Boulder Brands is a natural consumer packaged food company with 6 brands, 60 product categories, and 361 products represented and FY14 revenues of more than \$500 million. The company focuses on products that are driven by “pure and simple ingredients” and has had significant acquisition activity over the past 2 years. On December 9 Pinnacle Foods commenced a tender offer to purchase all outstanding shares of Boulder Brands. The tender offer is being made pursuant to the Merger Agreement entered into and announced by Pinnacle and Boulder Brands on November 24, 2015. Blue Diamond is the world's largest almond processing and marketing company and is owned cooperatively by almond growers. Blue Diamond states intentions to continue to “build markets and create new products, new uses, and new opportunities” and has recently invested in production infrastructure and research and development.

Recent M&A activity includes the 2013 Hormel Foods corporation acquisition of Skippy Peanut Butter for an estimated \$700M. At the time of the transaction the SKIPPY domestic line consisted of 11 varieties of shelf-stable peanut butter products and annual global revenues of \$370M (a 1.89x multiple on revenues). In discussing the transaction with the New



York Times, Hormel Foods CEO Jeffrey Ettinger stated that the company has been "making a very deliberate effort to become a bigger player in general packaged foods." In June of this year WhiteWave Foods Company, a consumer packaged food and beverage company, announced that it has agreed to acquire Vega, an all plant-based nutrition products company, for approximately \$550M. Vega's prior 12 month net sales were estimated at \$100M (a 5.5x multiple on net sales). Also this year SunOpta, Inc. acquired 6 year old Niagara Natural for approximately \$6.7M plus future potential, milestone incentive payments. SunOpta is a global natural foods company focused on organic, non-genetically modified and healthy foods. SunOpta President and COO Rik Jacobs stated that Niagara Natural is "a strong strategic fit within our core vertically integrated consumer products strategy, aligning well with our focus on healthy and convenient snacking." His sentiments continued as he described the convenient, natural foods industry as an "on-trend" category. Sales and revenue figures for of Niagara Natural were not stated.

CB Insights uses the title of Candy and Snackfoods to categorize nut butter spread companies (such as Justin's LLC). Under this category CB records \$1.05B of funding in the past year and a 44.2% increase in funding year over year since 2010. Last year 87 deals were recorded with an average funding of \$86.7M per quarter since 2010. Recent M&A and IPO quantities for this segment are shown in the graph above.

VALUATION

NOTE: The content below reflects updated financial information provided by Kalot after the publication date of this document. It should be understood that this section stands as an amendment to the remainder of this document, with information that is current as of 1/11/2016.

Kalot has impressive traction to date, with products in over 1200 stores. The company benefits from a growing segment of the natural foods market that has seen healthy exit activity in the last 24 months. General Mills has been expanding its portfolio of natural and organic foods, especially in the healthy, natural snack category, over that span with the 2014 acquisition of Annie's Inc. for \$820M and the recent acquisition of the Austin, Texas natural snack bar company, Epic Provisions (amount undisclosed). These two acquisitions provide an interesting benchmark for Kalot, as Annie's Inc. had been in business for 25 years and reached \$204M in revenue at the time of acquisition. Epic Provisions, on the other hand, has only been in business since 2013, but did reach close to \$20M in revenue in 2015. Epic Provisions provides the more addressable comp of the two for Kalot, but it is our estimation that to reach similar revenue figures that Epic Provisions had at the time of its acquisition, Kalot will need to raise more capital than it has outlined in its strategy. Another example is Justin's Nut Butter. While certainly provides a good model to Kalot in terms of strategy and execution, they do not present the best comparable data against Kalot, given that they have building their value for 10+ years. Additionally, Justin's has raised over 20 times the amount of capital that Kalot projects it will need to reach exit.

With these case studies in mind, revenues in years 4 and 5 were refined from the financial projections supplied by Kalot to reflect comparable companies that better fit the company under review. Exit multiples from recent natural food acquisitions suggest that a multiple on revenues of 3x is feasible.

Three rounds of funding were baked into the valuation models, including a current bridge round of \$250K, followed by \$500k later in 2016, and a \$1.5M raise in 2017. This capital strategy is based off of the projections provided by Kalot and funding history of comparable companies in the space. The models also assumed an average valuation of \$2.25M for companies at this stage in the natural foods market.

Scorecard Method

The Scorecard valuation method measures a company based on variations from the average company at this stage (\$2.25M for natural foods). The "Weight" column stays the same for all valuations (unless an investor wanted to change their values based on their own valuation theory) the figures in the "Multiplier" column are adjusted based on the particular company and its relative performance compared to its peers. The results are then added to get a cumulative multiplier. This method yielded a pre-money valuation of **\$1.86M**.

Team: This is a team that has generated solid traction given its limited resources, showing an ability to effectively bootstrap. That said, several management decisions related to fractional and full-time hires have proved to be costly. Execution risk is clear although could be amended with the right additions to the team.

Opportunity Size: This is a growing space with a lot of attention being paid to natural and organic foods that with a protein component. Both consumers and potential acquirers are taking notice of natural, healthy snack foods with unique flavor profiles. Kalot checks those boxes.

Product/Technology: In this space, the product does not have to be ground-breaking to gain traction. Branding becomes a major element of the product and Kalot will need to use the funds it will raise over this and subsequent rounds to further develop the product.

Competitive Environment: Just walk down the peanut butter/spreads aisle of any supermarket; this is a crowded field. There are several competitors, as outlined in this report, with slight differentiating factors between them - price and flavor as two of the most paramount. Kalot competes well in these categories.

Marketing and Sales Partnerships: Marketing and trade show spend will need to be ramped up as Kalot scales. In-store demonstration costs were outlined in the proforma supplied by the Kalot team, and those will be vital to their growth strategy. There are several sales partnerships in the near-term pipeline that will add value to the company once they are finalized.

Need for Additional Investment: To reach their target revenues at the time of acquisition, Kalot will need to raise several subsequent rounds. The company estimated a total raise of \$2.5M over the next 24 months, including the current \$250k bridge round.

Scorecard Adjusted Valuation			
Item	Weight	Multiplier	Results
Average Company Valuation	NA	NA	\$2.250 M
Team	30%	0.5	0.15
Opportunity Size	25%	1	0.25
Product/Technology	15%	1	0.15
Competitive Environment	10%	1	0.10
Marketing/Sales Partnerships	10%	1	0.10
Need for Additional Investment	5%	0.5	0.03
Other Factors	5%	1	0.05
Results Factor	0.83		
Scorecard Adjusted Valuation	\$1.856 M		

Summary

Five valuation methods were used in the Kalot review, with an average pre-money valuation of **\$1.76M**.

Valuation Review Summary (Pre-Money)	
Early Exit	\$ 1,600,000.00
Scorecard	\$ 1,856,250.00
Risk-Adjusted	\$ 1,850,000.00
Burn Rate	\$ 1,750,000.00
Gut Check	\$ 2,000,000.00
Average	\$ 1,764,062.50
Standard Deviation	\$ 103,679.85
Median	\$ 1,800,000.00

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It is assumed that readers of this report have thoroughly reviewed the company's documents and are already familiar with the business and its operations. This document does not attempt to reproduce those documents in full or in summary. As the accompanying due diligence checklist shows, the RVC Team has gone through the company's documents to review the company's proper formation, agreements, resumes of principals, etc. These documents are available to all potential investors.

APPENDIX

The following files were provided by Kalot as supplemental information. They may be accessed through either the RVC portal or the Kalot Gust profile.

RVCprojectionsexcelfinal-3.xlsx

kalot_due diligencedeckfinalpdf.pdf